

SENATE BILL 984

By Southerland

AN ACT to amend Tennessee Code Annotated, Title 8;
Title 30; Title 31; Title 32; Title 35; Title 55; Title 66
and Title 67, relative to property.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 31, is amended by adding the following
as a new chapter 8:

31-8-101. Short title.

This chapter is known and may be cited as the "Uniform Real Property Transfer
on Death Act."

31-8-102. Chapter definitions.

As used in this chapter:

(1) "Beneficiary" means a person that receives property under a transfer
on death deed;

(2) "Designated beneficiary" means a person designated to receive
property in a transfer on death deed;

(3) "Joint owner":

(A) Means an individual who owns property concurrently with one

(1) or more other individuals with a right of survivorship;

(B) Includes a joint tenant and tenant by the entirety; and

(C) Does not include a tenant in common or joint tenant with no
right of survivorship;

(4) "Person" means an individual; corporation; business trust; estate;
trust; partnership; limited liability company; association; joint venture; public

corporation; government or governmental subdivision, agency, or instrumentality; or any other legal or commercial entity;

(5) "Property" means an interest in real property located in this state that is transferable on the death of the owner;

(6) "Transfer on death deed" means a deed authorized under this chapter; and

(7) "Transferor" means an individual who makes a transfer on death deed.

31-8-103. Applicability.

This chapter applies to a transfer on death deed made before, on, or after July 1, 2025, by a transferor dying on or after July 1, 2025.

31-8-104. Nonexclusivity.

This chapter does not affect any method of transferring property otherwise permitted under the law of this state.

31-8-105. Transfer on death deed authorized.

An individual may transfer property to one (1) or more beneficiaries effective at the transferor's death by a transfer on death deed.

31-8-106. Transfer on death deed revocable.

A transfer on death deed is revocable even if the deed or another instrument contains a contrary provision.

31-8-107. Transfer on death deed nontestamentary.

A transfer on death deed is nontestamentary.

31-8-108. Capacity of transferor.

The capacity required to make or revoke a transfer on death deed is the same as the capacity required to make a will.

31-8-109. Requirements.

A transfer on death deed:

- (1) Except as otherwise provided in subdivision (2), must contain the essential elements and formalities of a properly recordable inter vivos deed;
- (2) Must state that the transfer to the designated beneficiary is to occur at the transferor's death; and
- (3) Must be recorded before the transferor's death in the public records in the office of the county register of deeds of the county where the property is located.

31-8-110. Notice, delivery, acceptance, consideration not required.

A transfer on death deed is effective without:

- (1) Notice or delivery to, or acceptance by, the designated beneficiary during the transferor's life; or
- (2) Consideration.

31-8-111. Revocation by instrument authorized – Revocation by act not permitted.

(a) Subject to subsection (b), an instrument is effective to revoke a recorded transfer on death deed, or any part of it, only if the instrument:

- (1) Is one (1) of the following:
 - (A) A transfer on death deed that revokes the deed or part of the deed expressly or by inconsistency;
 - (B) An instrument of revocation that expressly revokes the deed or part of the deed; or
 - (C) An inter vivos deed that expressly revokes the transfer on death deed or part of the deed; and

(2) Is acknowledged by the transferor after the acknowledgment of the deed being revoked and recorded before the transferor's death in the public records in the office of the county register of deeds of the county where the deed is recorded.

(b) If a transfer on death deed is made by more than one (1) transferor:

(1) Revocation by a transferor does not affect the deed as to the interest of another transferor; and

(2) A deed of joint owners is revoked only if it is revoked by all of the living joint owners.

(c) After a transfer on death deed is recorded, it may not be revoked by a revocatory act on the deed.

(d) This section does not limit the effect of an inter vivos transfer of the property.

31-8-112. Effect of transfer on death deed during transferor's life.

During a transferor's life, a transfer on death deed does not:

(1) Affect an interest or right of the transferor or any other owner, including the right to transfer or encumber the property;

(2) Affect an interest or right of a transferee, even if the transferee has actual or constructive notice of the deed;

(3) Affect an interest or right of a secured or unsecured creditor or future creditor of the transferor, even if the creditor has actual or constructive notice of the deed;

(4) Affect the transferor's or designated beneficiary's eligibility for any form of public assistance unless required by federal law;

(5) Create a legal or equitable interest in favor of the designated beneficiary; or

(6) Subject the property to claims or process of a creditor of the designated beneficiary.

31-8-113. Effect of transfer on death deed at transferor's death.

(a) Except as otherwise provided in the transfer on death deed, this section; § 32-3-104; § 31-1-102; § 31-1-106; or chapter 3 or 4 of this title, upon the death of the transferor, the following rules apply to property that is the subject of a transfer on death deed and owned by the transferor at death:

(1) Subject to subdivision (a)(2), the interest in the property is transferred to and vests in the designated beneficiary in accordance with the deed;

(2) The interest of a designated beneficiary is contingent on the designated beneficiary surviving the transferor. The interest of a designated beneficiary that fails to survive the transferor lapses;

(3) Subject to subdivision (a)(4), concurrent interests are transferred to the beneficiaries in equal and undivided shares with no right of survivorship; and

(4) If the transferor has identified two (2) or more designated beneficiaries to receive concurrent interests in the property, the share of one (1) that lapses or fails for any reason is transferred to the other, or to the others in proportion to the interest of each in the remaining part of the property held concurrently.

(b) Subject to §§ 66-5-106; 66-26-101; and title 66, chapter 24, a beneficiary takes the property subject to all conveyances, encumbrances, assignments, contracts, mortgages, liens, claims of the bureau of TennCare or successor entity for medical assistance, and other interests to which the property is subject at the transferor's death. For purposes of this title and title 66, the recording of the transfer on death deed is deemed to have occurred at the transferor's death.

(c) If a transferor is a joint owner and is:

(1) Survived by one (1) or more other joint owners, then the property that is the subject of a transfer on death deed belongs to the surviving joint owner or owners with right of survivorship; or

(2) The last surviving joint owner, then the transfer on death deed is effective.

(d) A transfer on death deed transfers property without covenant or warranty of title even if the deed contains a contrary provision.

31-8-114. Disclaimer.

A beneficiary may disclaim all or part of the beneficiary's interest as provided in the Tennessee Disclaimer of Property Interests Act, compiled in chapter 7 of this title.

31-8-115. Delivery or filing.

(a) As used in this section, "beneficiary designation" means an instrument, other than an instrument creating a trust, naming the beneficiary of:

(1) An annuity or insurance policy;

(2) An account with a designation for payment on death;

(3) A security registered in beneficiary form;

(4) A pension, profit-sharing, retirement, or other employment-related benefit plan; or

(5) Any other nonprobate transfer at death.

(b) Subject to subsections (c)-(l), delivery of a disclaimer may be effected by personal delivery, first-class mail, or any other method likely to result in its receipt.

(c) In the case of an interest created under the law of intestate succession or an interest created by will, other than an interest in a testamentary trust:

(1) A disclaimer must be delivered to the personal representative of the decedent's estate; or

(2) If no personal representative is then serving, it must be filed with a court having jurisdiction to appoint the personal representative.

(d) In the case of an interest in a testamentary trust:

(1) A disclaimer must be delivered to the trustee then serving, or if no trustee is then serving, to the personal representative of the decedent's estate; or

(2) If no personal representative is then serving, it must be filed with a court having jurisdiction to enforce the trust.

(e) In the case of an interest in an inter vivos trust:

(1) A disclaimer must be delivered to the trustee then serving;

(2) If no trustee is then serving, it must be filed with a court having jurisdiction to enforce the trust; or

(3) If the disclaimer is made before the time the instrument creating the trust becomes irrevocable, it must be delivered to the settlor of a revocable trust or the transferor of the interest.

(f) In the case of an interest created by a beneficiary designation that is disclaimed before the designation becomes irrevocable, the disclaimer must be delivered to the person making the beneficiary designation.

(g) In the case of an interest created by a beneficiary designation that is disclaimed after the designation becomes irrevocable:

(1) The disclaimer of an interest in personal property must be delivered to the person obligated to distribute the interest; and

(2) The disclaimer of an interest in real property must be recorded in the office of the county register of deeds of the county where the real property that is the subject of the disclaimer is located.

(h) In the case of a disclaimer by a surviving holder of jointly held property, the disclaimer must be delivered to the person to whom the disclaimed interest passes.

(i) In the case of a disclaimer by an object or taker in default of exercise of a power of appointment at any time after the power was created:

(1) The disclaimer must be delivered to the holder of the power or to the fiduciary acting under the instrument that created the power; or

(2) If no fiduciary is then serving, it must be filed with a court having authority to appoint the fiduciary.

(j) In the case of a disclaimer by an appointee of a nonfiduciary power of appointment:

(1) The disclaimer must be delivered to the holder, the personal representative of the holder's estate, or the fiduciary under the instrument that created the power; or

(2) If no fiduciary is then serving, it must be filed with a court having authority to appoint the fiduciary.

(k) In the case of a disclaimer by a fiduciary of a power over a trust or estate, the disclaimer must be delivered as provided in subsection (c), (d), or (e), as if the power disclaimed were an interest in property.

(l) In the case of a disclaimer of a power by an agent, the disclaimer must be delivered to the principal or the principal's representative.

31-8-116. Recording of disclaimer.

If an instrument transferring an interest in or power over property subject to a disclaimer is required or permitted by law to be filed, recorded, or registered, then the disclaimer may be so filed, recorded, or registered. Except as otherwise provided in § 31-8-115(g)(2), failure to file, record, or register the disclaimer does not affect its validity as between the disclaimant and persons to whom the property interest or power passes by reason of the disclaimer.

31-8-117. Liability for creditor claims and statutory allowances.

(a) To the extent the transferor's probate estate is insufficient to satisfy an allowed claim against the estate or a statutory allowance to a surviving spouse or child, the estate or any creditor may enforce the liability against property transferred at the transferor's death by a transfer on death deed.

(b) If more than one (1) property is transferred by one (1) or more transfer on death deeds, then the liability under subsection (a) is apportioned among the properties in proportion to their net values at the transferor's death.

(c) A proceeding to enforce the liability under this section must be commenced not later than eighteen (18) months after the transferor's death.

31-8-118. Form of transfer on death deed.

The following form may be used to create a transfer on death deed; provided, however, the other sections of this chapter govern the effect of this or any other instrument used to create a transfer on death deed:

(front of form)

REVOCABLE TRANSFER ON DEATH DEED

NOTICE TO OWNER

This deed will transfer ownership of the property described below when you die. You should carefully read all of the information on this form. You should consult a lawyer before using this form.

This form must be recorded with the register of deeds before your death, or it will not be effective. Any change to this deed must also be recorded to be effective.

IDENTIFYING INFORMATION

Owner or Owners Making This Deed:

Printed name

Mailing address

Marital status

Printed name

Mailing address

Marital status

Legal description of the property:

PRIMARY BENEFICIARY

I designate the following beneficiary if the beneficiary survives me.

Printed name

Mailing address, if available

ALTERNATE BENEFICIARY – Optional

If my primary beneficiary does not survive me, I designate the following alternate beneficiary if that beneficiary survives me.

Printed name

Mailing address, if available

TRANSFER ON DEATH

At my death, I transfer my interest in the described property to the beneficiaries as designated above.

Before my death, I have the right to revoke this deed.

SIGNATURE OF OWNER OR OWNERS MAKING THIS DEED

Signature

Date

Signature

Date

State of Tennessee

County of _____

Personally appeared before me, _____, a notary public in and for the state and county aforesaid, _____, the within named person(s), with whom I am personally acquainted or proved to me on the basis of satisfactory evidence, and who acknowledged that such person was the one who executed the foregoing instrument for the purposes therein contained.

WITNESS my hand and seal at office, on this _____ day of _____, 20__

Notary Public

My Commission Expires:

(back of form)

COMMON QUESTIONS ABOUT THE USE OF THIS FORM

What does the Transfer on Death (TOD) deed do? When you die, this deed transfers the described property, subject to any liens or mortgages (or other encumbrances) on the property at your death. Probate is not required. The TOD deed has no effect until you die. You can revoke it at any time. You are also free to transfer the property to someone else during your lifetime. If you do not own any interest in the property when you die, this deed will have no effect.

How do I make a TOD deed? Complete this form. Have it acknowledged before a notary public or other individual authorized by law to take acknowledgments. Record the form in each county where any part of the property is located. The form has no effect unless it is acknowledged and recorded before your death.

Is the "legal description" of the property necessary? Yes.

How do I find the "legal description" of the property? This information may be on the deed you received when you became an owner of the property. This information may also be available in the office of the register of deeds for the county where the property is located. If you are not absolutely sure, consult a lawyer.

Can I change my mind before I record the TOD deed? Yes. If you have not yet recorded the deed and want to change your mind, simply tear up or otherwise destroy the deed.

How do I "record" the TOD deed? Take the completed and acknowledged form to the office of the register of deeds of the county where the property is located. Follow the instructions given by the register of deeds to make the form part of the official

property records. If the property is in more than one county, you need to record the deed in each county.

Can I later revoke the TOD deed if I change my mind? Yes. You can revoke the TOD deed. No one, including the beneficiaries, can prevent you from revoking the deed.

How do I revoke the TOD deed after it is recorded? There are three ways to revoke a recorded TOD deed: (1) Complete and acknowledge a revocation form, and record it in each county where the property is located; (2) Complete and acknowledge a new TOD deed that disposes of the same property, and record it in each county where the property is located; or (3) Transfer the property to someone else during your lifetime by a recorded deed that expressly revokes the TOD deed. You may not revoke the TOD deed by will.

I am being pressured to complete this form. What should I do? Do not complete this form under pressure. Seek help from a trusted family member, friend, or lawyer.

Do I need to tell the beneficiaries about the TOD deed? No, but it is recommended. Secrecy can cause later complications and might make it easier for others to commit fraud.

I have other questions about this form. What should I do? This form is designed to fit some but not all situations. If you have other questions, you are encouraged to consult a lawyer.

31-8-119. Optional form of revocation.

The following form may be used to create an instrument of revocation under this chapter; provided, however, the other sections of this chapter govern the effect of this or any other instrument used to revoke a transfer on death deed:

(front of form)

REVOCATION OF TRANSFER ON DEATH DEED

NOTICE TO OWNER

This revocation must be recorded with the register of deeds before your death, or it will not be effective. This revocation is effective only as to the interests in the property of owners who sign this revocation.

IDENTIFYING INFORMATION

Owner or Owners of Property Making This Revocation:

Printed name

Mailing address

Marital status

Printed name

Mailing address

Marital status

Legal description of the property:

REVOCATION

I revoke all my previous transfers of the property by transfer on death deed.

SIGNATURE OF OWNER OR OWNERS MAKING THIS REVOCATION

Signature

Date

Signature

Date

State of Tennessee

County of _____

Personally appeared before me, _____, a notary public in and for the state and county aforesaid, _____, the within named person(s), with whom I am personally acquainted or proved to me on the basis of satisfactory evidence, and who acknowledged that such person was the one who executed the foregoing instrument for the purposes therein contained.

WITNESS my hand and seal at office, on this _____ day of _____, 20__.

Notary Public

My Commission Expires:

(back of form)

COMMON QUESTIONS ABOUT THE USE OF THIS FORM

How do I use this form to revoke a Transfer on Death (TOD) deed? Complete this form.

Have it acknowledged before a notary public or other individual authorized to take acknowledgments. Record the form in the public records in the office of the register of deeds of each county where the property is located. The form must be acknowledged and recorded before your death or it has no effect.

How do I find the "legal description" of the property? This information may be on the TOD deed. It may also be available in the office of the register of deeds for the county where the property is located. If you are not absolutely sure, consult a lawyer.

How do I "record" the form? Take the completed and acknowledged form to the office of the register of deeds of the county where the property is located. Follow the instructions given

by the register of deeds to make the form part of the official property records. If the property is located in more than one county, you need to record the form in each of those counties.

I am being pressured to complete this form. What should I do? Do not complete this form under pressure. Seek help from a trusted family member, friend, or lawyer.

I have other questions about this form. What should I do? This form is designed to fit some but not all situations. If you have other questions, consult a lawyer.

31-8-120. Uniformity of application and construction.

In applying and construing this uniform act, consideration must be given to the need to promote uniformity of the law with respect to its subject matter among the states that enact it.

31-8-121. Relation to electronic signatures in global and national commerce act.

This chapter modifies, limits, and supersedes the federal Electronic Signatures in Global and National Commerce Act (15 U.S.C. § 7001, et seq.), but does not modify, limit, or supersede § 101(c) of that act (15 U.S.C. § 7001(c)), or authorize electronic delivery of any of the notices described in § 103(b) of that act (15 U.S.C. § 7003(b)).

SECTION 2. Tennessee Code Annotated, Section 31-7-112(a), is amended by adding the following as a new subdivision (5) and redesignating existing subdivision (5) accordingly:

(5) A transfer on death deed; or

SECTION 3. Tennessee Code Annotated, Section 55-3-118, is amended by adding the following as a new subsection:

(e)

(1) An owner may provide for the transfer of title to a motor vehicle upon the owner's death by including in the certificate of title a designation of a beneficiary to whom the motor vehicle must be transferred upon the death of the owner, subject to the rights of all lienholders. A trust may be a designated

beneficiary. If a motor vehicle is jointly owned by two (2) or more persons, then ownership of the motor vehicle must not vest in the designated beneficiary until the death of the last owner, subject to the rights of all lienholders.

(2) When a motor vehicle is jointly owned by two (2) or more persons, the signatures of all owners must be required to designate a beneficiary. Only one (1) party's signature is required to designate a beneficiary if the title is registered in the name of one (1) spouse or where the conjunction between the names on the title is "or."

(3) A transfer on death certificate of title must include after the name of the owner, or owners, the words "transfer on death to" or the abbreviation "TOD" followed by the name of the beneficiary.

(4) A beneficiary designation may be changed at any time without the consent of a beneficiary with the filing of an application for a subsequent transfer on death certificate of title and payment of the fee provided in § 55-6-101(a)(4). Upon issuance of any subsequent certificate of title pursuant to this subsection (e), the previous certificate that was issued is void.

SECTION 4. Tennessee Code Annotated, Section 55-6-101(a)(4), is amended by deleting "destroyed certificate," and substituting "destroyed certificate or a subsequent transfer on death certificate of title pursuant to § 55-3-118(e),".

SECTION 5. Tennessee Code Annotated, Section 66-24-101(a)(12), is amended by adding ", including transfer on death deeds" immediately after "description".

SECTION 6. The headings in this act are for reference purposes only and do not constitute a part of the law enacted by this act. However, the Tennessee Code Commission is requested to include the headings in any compilation or publication containing this act.

SECTION 7. For purposes of preparing forms or promulgating rules, this act takes effect upon becoming a law, the public welfare requiring it. For all other purposes, this act takes effect July 1, 2025, the public welfare requiring it, and applies to transfer on death deeds or certificates of title with a designated beneficiary made before, on, or after July 1, 2025, and by a transferor or motor vehicle owner dying on or after July 1, 2025.